POLICY FRAMEWORK

Defence & Security Industrial Policy

Which domains Ireland should build in, through which instruments, with what prerequisites, on what timeline

Security Ireland 2026

IDEA IN BRIEF

THE GAP
Ireland has €2.5 billion in emerging defence procurement demand over the next decade, a world-class technology sector — the European headquarters of most major American tech firms, strong AI and cybersecurity ecosystems, and dual-use capabilities in maritime sensing — and no industrial policy connecting the two. The government is removing domestic barriers: amending Enterprise Ireland's dual-use restrictions, establishing security clearances, examining the Science and Technology Act 1987. But domestic reforms only matter if the EU rules on the other side recognise what Ireland offers.

THE FRAMEWORK
This paper proposes the architecture: which domains Ireland should build in (cyber, maritime sensing, AI, dual-use technology), through which instruments (EDIP, SAFE, bilateral procurement, Enterprise Ireland), with what institutional prerequisites (security clearances, classified information handling, export controls), on what timeline. Ireland's industrial contribution is domain-specific. It will not build tanks or fighter aircraft, it will contribute where its economic base already has world-class capability.

THE TWO-DOOR PROBLEM
Removing Ireland's domestic barriers and ensuring EU rules recognise technology contribution are two sides of the same door, and both must open. If EDIP defines 'participation' as defence manufacturing, Ireland is excluded regardless of domestic reform. Similarly, if it includes technology contribution but Ireland lacks security clearances, Irish firms cannot participate. The EU Presidency is the window to open both doors simultaneously.

€2.5bn	9/10	0	€1.5bn
Estimated defence spend, next decade	Top US tech firms with EU HQ in Ireland	Defence industrial base (current)	EDIP grants available (2025–27)

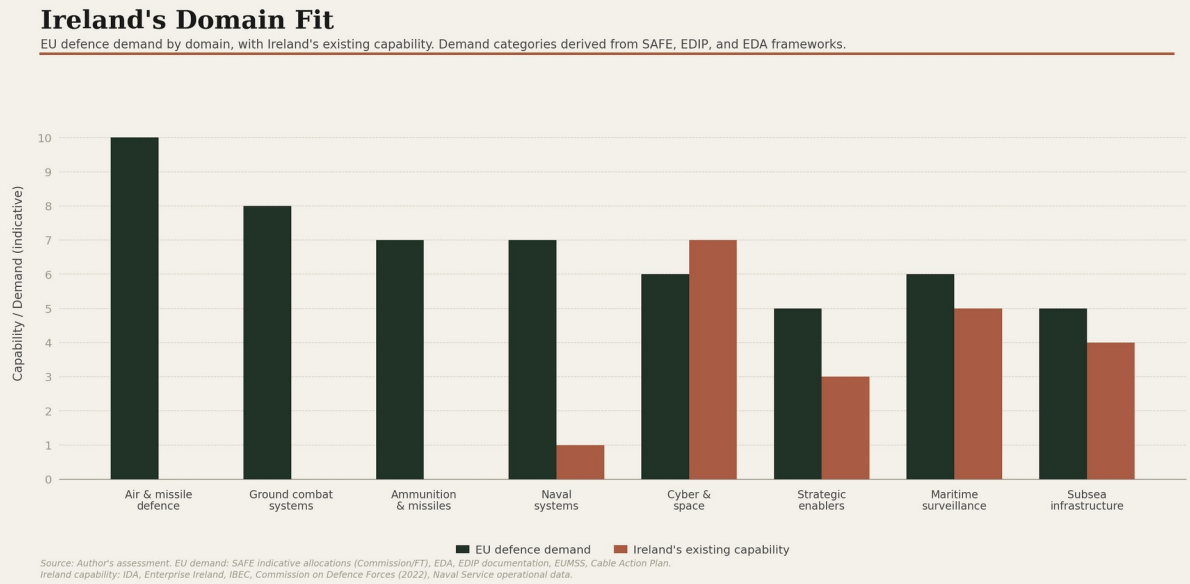

Figure 1: Ireland's domain fit. Where existing economic strengths — cybersecurity, AI, maritime sensing, data protection — align with emerging European defence demand. Ireland's contribution is domain-specific, not full-spectrum.

The Case for an Irish Defence Industrial Policy

Defence industrialisation is not a factory-siting decision, it is a coordination architecture problem. Building a defence industrial base requires an aligned ecosystem of procurement demand, export control frameworks, classified information handling, a workforce with security clearances, testing and certification infrastructure, and a political system willing to sustain long-term commitments to military production.

Ireland has the engineering capacity, but it lacks everything else. However two things have changed.

First, the €1.7 billion capital programme over 2026–2030 creates, for the first time, a procurement demand signal. Ireland is buying primary radar, counter-drone systems, naval vessels, armoured vehicles, maritime surveillance technology, and cyber capability. The IDSA estimates €2.5 billion over the next decade. This is no longer a few hundred million in basic sustainment. It is a pipeline.

Second, European defence industrial policy is being written now — and Ireland chairs the Council where the rules are decided. EDIP's implementing rules determine whether 'participation' means manufacturing tanks or contributing technology. The MFF defence chapter determines whether cyber and maritime sensing have a permanent funding line. The Defence Procurement Directive revision determines whether European supplier preference rewards cooperation or scale. These rules will persist for a decade. Ireland's Presidency is the window to shape them.

What Ireland has

World-class technology sector: Nine of the ten top US tech firms have their EU headquarters in Ireland. Deep AI and cybersecurity research ecosystems. GDPR compliance hub for the continent. Strong software engineering talent pool.

Maritime sensing capability: Sea-Scan maritime AI. Proximity to 880,000 km² of Atlantic EEZ with 20+ submarine cable landfalls. Geographic position as the Atlantic terminus of European subsea infrastructure.

Precision manufacturing base: Pharmaceutical and medtech manufacturing at world-class standards. Dual-use potential in sensors, communications, and precision engineering.

EU membership and regulatory alignment: Access to EU defence programmes. Regulatory infrastructure for GDPR, NIS2, and the forthcoming cybersecurity certification framework.

What Ireland lacks

Security clearance system: No established framework for granting security clearances to Irish firms or personnel seeking EU defence contracts. The Minister for Justice is introducing interim clearances, with a National Security Agency to follow; but interim is not permanent.

Classified information handling: No industrial classified information infrastructure. Firms cannot receive, store, or process classified technical data required for defence programme participation.

Export control expertise: Limited institutional capacity for managing dual-use export controls at the scale EU defence participation requires.

Procurement demand history: The procurement system has never managed first-generation capability builds. No track record of technical evaluation, supplier management, or through-life support for complex defence systems.

Political sustainability: Defence spending is culturally illegitimate in a way that no other category of public expenditure is. Sustained industrial policy requires sustained political commitment across electoral cycles.

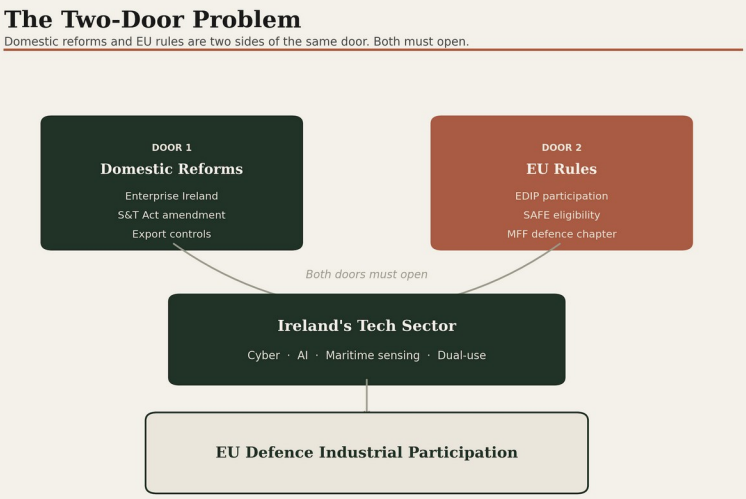

Figure 2: The two-door problem. Domestic reforms (security clearances, Enterprise Ireland engagement, S&T Act amendment) and EU rules (EDIP participation criteria, SAFE eligibility, MFF domains) must both open for Ireland's tech sector to participate in European defence.

Ireland's Defence Industrial Domains

Ireland's industrial contribution is bounded and domain-specific. This paper identifies four domains where Ireland's existing economic base can contribute to European defence production without requiring the institutional infrastructure of a full-spectrum defence industry.

1. Cybersecurity and AI

Ireland's tech-sector concentration makes it a natural contributor to EU cyber defence capability. The NCSC, while under-resourced, provides the institutional anchor. Irish AI firms have expertise in threat detection, anomaly identification, and automated response. If EDIP's implementing rules recognise cyber and AI as eligible participation, Irish firms can join EU defence consortia. The PESCO Cyber Threats

and Incident Response project provides the collaborative framework.

The domestic reform required: security clearances for firms handling classified threat data.

2. Maritime sensing and surveillance

Sea-Scan maritime AI, subsea monitoring sensors, and satellite imagery processing represent an emerging Irish capability in maritime domain awareness. The PESCO Maritime Surveillance Upgrade and Critical Seabed Infrastructure Protection projects connect directly. Ireland's geographic position — the Atlantic terminus of European subsea infrastructure — creates structural demand for these capabilities.

The domestic reform required: classified information handling for maritime threat data.

3. Dual-use technology

Ireland's pharmaceutical and medtech manufacturing base has dual-use potential in sensors, communications, and precision engineering. The European Parliament's position on EDIP includes provisions for SMEs, mid-caps, and start-ups. Ireland should align with this broader interpretation.

The domestic reform required: amendment of the Science and Technology Act 1987 to lift restrictions on Enterprise Ireland's dual-use engagement, as IBEC and the IIEA have called for.

4. Data protection and compliance infrastructure

Ireland's GDPR hub status gives it unique institutional expertise in data handling, privacy compliance, and cross-border data governance. As EU defence programmes increasingly involve data-intensive capabilities — AI training data, surveillance imagery, intelligence sharing — data governance becomes a defence-relevant function. This is the least conventional domain but potentially the most distinctive Irish contribution.

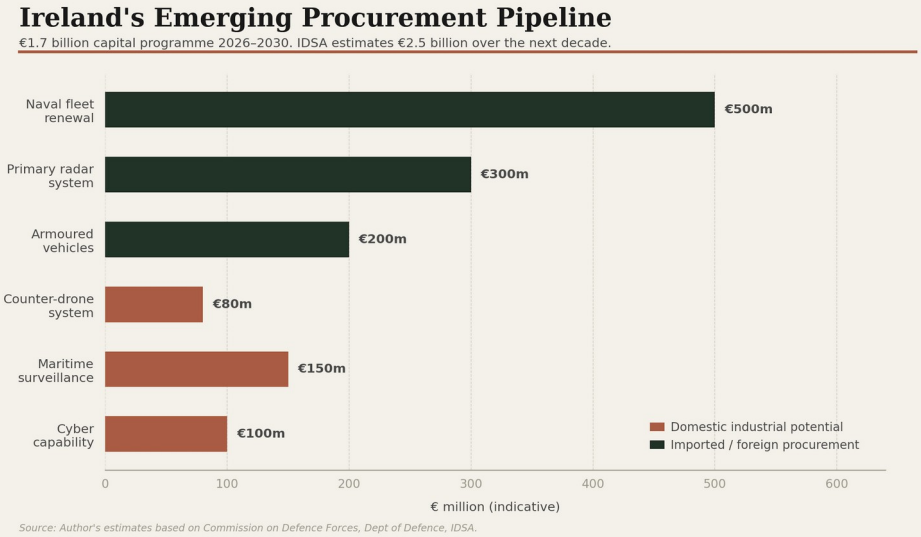

Figure 3: Ireland's emerging procurement pipeline. The €1.7 billion capital programme creates domestic demand for the first time. Terracotta bars indicate domains with potential for domestic industrial participation.

The Instruments

Four EU and bilateral instruments can connect Ireland's industrial capability to European defence demand. Each requires specific Irish action during the Presidency.

EDIP

The implementing rules being drafted now determine whether technology contribution counts as 'participation.' If it does, Irish cyber, AI, and maritime sensing firms can join EDIP consortia. The European Parliament's position already includes SME and start-up provisions. Ireland should align with Parliament and broker the broader interpretation through the

Council; this is the single most consequential decision for Irish defence industrial participation.

SAFE

Ireland has not applied for SAFE loans despite sixteen member states being approved. A modest application — for Thales CAPTAS sonar, Sea-Scan maritime AI, NCSC cyber capability — establishes Ireland as a SAFE participant. Joint procurement with other member states earns preferential terms, making Ireland's procurement pipeline more cost-effective and more visible in the EU funding architecture.

MFF Defence Chapter

The next seven-year EU budget determines whether cyber and maritime sensing have a permanent funding line, and Ireland should draft the framework text naming these as priority domains. If the MFF is written generically, funding flows to kinetic capabilities where Ireland has no contribution.

Bilateral Procurement (Cork MoU)

Government-to-government sales with the UK bypass the commercial procurement process Ireland's system is least equipped to manage. Joint procurement creates volumes that justify industrial investment. Personnel and training exchanges build institutional capacity. The bilateral channel is the efficiency multiplier that makes the EU instruments work.

Institutional Prerequisites

The industrial domains and instruments only function if five institutional prerequisites are in place. These are not aspirational — they are the minimum conditions for participation.

1. Security clearance system

A permanent, not interim, framework for vetting Irish firms and personnel. The Minister for Justice is establishing interim clearances and these must become permanent through a National Security Agency or equivalent. Without clearances, firms cannot receive classified programme data. Timeline: operational by Q2 2027.

2. Classified information handling infrastructure

Secure facilities, communication systems, and storage for classified technical documentation. Firms participating in EDIP consortia must handle classified programme requirements, yet Ireland currently has no industrial classified information infrastructure. Timeline: first facilities by Q4 2027.

3. Enterprise Ireland dual-use engagement

The Science and Technology Act 1987 restricts Enterprise Ireland's engagement with dual-use technologies, and IBEC and the IIEA have called for amendment. The government is examining this. It must be completed before Irish firms can access EU defence industrial support through national agencies. Timeline: legislative amendment by Q2 2027.

4. Export control framework

Defence and dual-use technology exports require licencing, end-use monitoring, and compliance infrastructure that Ireland has at minimal scale. Scaling this to EU defence programme participation levels requires dedicated institutional capacity. Timeline: framework operational by Q4 2027.

5. Sustained political commitment

Defence industrial policy requires investment decisions with 10–20 year horizons. The statutory defence investment floor proposed in the National Security Strategy Framework insulates the programme from electoral cycles. Without it, firms will not invest in capabilities that depend on government procurement continuing beyond the next election.

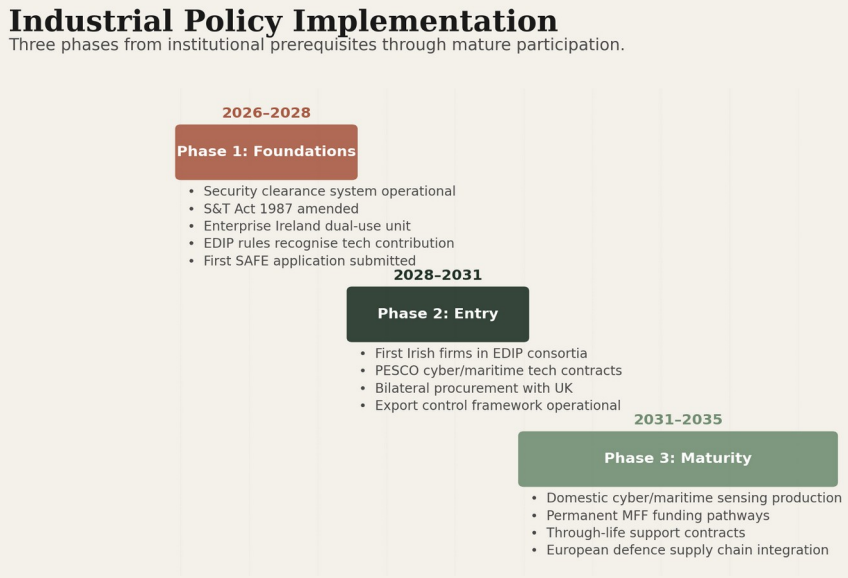

Figure 4: Industrial policy implementation pathway. Phase 1 builds the institutional prerequisites. Phase 2 achieves first EU programme entry. Phase 3 develops mature domestic capability within European defence supply chains.

What Happens Without an Industrial Policy

Without an industrial policy, Ireland will spend €2.5 billion on defence over the next decade, all of it flowing to foreign suppliers. No domestic industrial capability develops. Irish technology firms remain excluded from EU defence programmes because EDIP rules define participation as manufacturing. The procurement demand signal created by the capital programme produces no domestic economic return. Ireland's tech sector — world-class in cyber, AI, and data governance — contributes to every sector of the economy except the one the state is investing €2.5 billion in.

The coordination architecture lesson from this entire series applies: capital being spent without institutional architecture does not produce capabilities; it produces expenditure. And in this light, without industrial policy, Ireland's defence procurement becomes a transfer payment to foreign defence contractors rather than an investment in domestic institutional capacity.

THE BOTTOM LINE

Ireland has the economic base, the procurement demand, and the EU instruments to develop a bounded defence industrial capability in cyber, maritime sensing, AI, and dual-use technology. What it lacks are five institutional prerequisites: security clearances, classified information handling, Enterprise Ireland engagement, export controls, and sustained political commitment. Building these in parallel with the procurement pipeline they serve is the industrial policy. The EU Presidency is the window to ensure the EU rules recognise what Ireland builds. Both doors must open.

A NOTE ON METHOD

This paper analyses publicly available information about Ireland's defence procurement pipeline, technology sector, and EU industrial policy instruments. It does not discuss classified capabilities or specific firm-level strategies. Sources include EDIP programme documentation, SAFE loan terms, Enterprise Ireland data, IBEC and IIEA publications, Commission on Defence Forces (2022), and the Cork Summit joint statement (March 2026). The domain assessments are the author's.

Series Context

This paper is the prescriptive companion to Ireland's *Defence Industrial Architecture* (the diagnostic analysis). It implements the industrial dimension of the *Proposed National Security Strategy Framework*. The *Presidency Desk* briefs — particularly ReArm Europe and Hybrid Threats & Cyber Defence — provide the EU-side operational detail.

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